

What was your approach to risk arbitrage?

Do fewer deals and be bigger. If you have a big enough balance sheet, buy enough shares to be sure you have enough votes. If you thought you needed 8 percent of shares to assure the approval of the merger plan, you might as well buy 15 percent because you knew the deal would be going through. Just be big. That was a very successful approach.

But you still have other risks in the deal going through like failure to get government approval.

I would tend to be big late in the deal when those other risks had been ticked off. All we were ever concerned about was the likelihood of the deal closing; the spread margins were secondary. Parents buying out subsidiaries were by far the best trade; there were no due diligence issues and you knew the deal would be going through.

Nomura ended badly for me because there was a change in management. The new guy in charge wasn't straight. He had a convertible book, and all he was doing was buying illiquid convertible bonds and every month-end pushing the price up. He was the market because he owned most of these issues. So all he had to do was buy a few hundred bonds every month to push the price up.

At one point, a trader from another department came to me for guidance because he was being asked to mismark the book.

Was he a subordinate?

He was subordinate to one of the other managers.

Why did he come to you?

Because I had a reputation for being straight. I told him to mark the book correctly, and I would deal with it. I went to the senior management and said they couldn't put pressure on this guy to mismark his book. He was a lowly trader. If it ever came out, it could ruin his career. I told them they had to leave the book marked correctly. I thought it was a cogent argument.

A week later, I was asked to leave because I was not a team player. I told them if they wanted to fire me that was fine, but they needed to pay me the percentage I was owed. They wanted me to resign first and then they